Cambridge International AS & A Level

★ PREDICTED PAPER — FOR REVISION USE ★

ECONOMICS

9708/03H

Paper 3 A Level Multiple Choice

Practice Series 2026

Difficulty: Hard

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer all questions.
- For each question there are four possible answers A, B, C and D. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has 12 pages. Any blank pages are indicated.

1 A consumer buys two goods, X and Y. The marginal utility of X is 20 utils at the current consumption level and the marginal utility of Y is 30 utils. The price of X is $4 and the price of Y is $5. To maximise total utility, the consumer should:

A buy more X and less Y.
B buy more Y and less X.
C keep consumption unchanged.
D consume only Y.

2 The law of diminishing marginal utility implies that as consumption of a good rises:

A total utility becomes negative immediately.
B the marginal utility of each successive unit falls.
C the price the consumer is willing to pay rises.
D the demand curve slopes upward.

3 A firm's total cost of producing 100 units is $500 and the total cost of producing 101 units is $508. The marginal cost of the 101st unit is:

A $5.00
B $5.08
C $8.00
D $503.00

4 In the long run, a firm in perfect competition makes:

A supernormal profit.
B subnormal profit.
C normal profit only.
D a loss equal to fixed costs.

5 A monopolist faces a downward-sloping demand curve. At the profit-maximising output:

A price equals marginal cost.
B marginal revenue equals marginal cost, and price exceeds marginal cost.
C price equals average revenue equals marginal cost.
D marginal revenue is negative.

6 A concentration ratio measures:

A the productivity of an industry.
B the share of total market output of the largest n firms.
C the number of firms in an industry.
D the profit of the largest firm.

7 Two firms in a duopoly face the following payoff matrix (own profits in $m shown first): Firm B: low price / high price Firm A: low price 10, 10 / 40, 5 Firm A: high price 5, 40 / 25, 25 What is the dominant strategy for Firm A?

A Charge a high price, regardless of B's choice.
B Charge a low price, regardless of B's choice.
C Match Firm B's price.

D There is no dominant strategy.

8 Which of the following is most consistent with the existence of barriers to entry?

A Firms in the industry earn only normal profit in the long run.
B Firms in the industry earn supernormal profit in the long run.
C The price equals average cost at minimum.
D The long-run supply curve is horizontal.

9 A perfectly contestable market will, in equilibrium, display:

A price above marginal cost.
B persistent supernormal profit.
C price equal to average cost, even with only one firm.
D significant economies of scale for each firm.

10 The production possibility curve (PPC) of an economy becomes more bowed (concave to the origin) if:

A resources are equally suited to producing both goods.
B resources are specialised and not equally suited to producing both goods.
C the economy experiences constant opportunity costs.
D the economy is operating below full capacity.

11 In a perfectly competitive labour market, the marginal cost of labour to the firm is equal to:

A the average revenue product of labour.
B the marginal revenue product of labour.
C the going wage rate.
D zero.

12 A monopsonist in a labour market (single dominant employer) sets the wage rate and quantity of labour such that:

A the wage rate equals the marginal revenue product of labour.
B the marginal cost of labour equals the marginal revenue product of labour, and the wage rate is below the MRP.
C the wage is above the marginal revenue product of labour.
D the wage equals the average cost of labour.

13 Which of the following is most likely to increase wage differentials between high-skilled and low-skilled workers in a developed economy?

A A legal minimum wage set above the equilibrium wage for low-skilled labour.
B An increase in the supply of high-skilled workers.
C Skill-biased technological change that raises the productivity of high-skilled workers.
D Trade union activity limited to the high-skilled sector only.

14 A government introduces a per-unit tax on the production of a demerit good. The fall in consumption will be greater if:

A demand for the good is inelastic.
B supply for the good is inelastic.
C demand for the good is elastic.
D both demand and supply are inelastic.

15 The optimal level of pollution in an economy, from the perspective of economic efficiency, is where:

A pollution is zero.
B the marginal benefit of pollution abatement equals its marginal cost.
C the marginal cost of production is zero.
D the marginal private benefit of consumption equals the marginal social cost.

16 A country's nominal GDP is $500 billion and its real GDP in base-year prices is $400 billion. The GDP deflator is:

A 80.0
B 100.0
C 125.0
D 200.0

17 In an economy with a marginal propensity to save of 0.25, a marginal rate of taxation of 0.15 and a marginal propensity to import of 0.1, the value of the multiplier is:

A 1.0
B 1.67
C 2.0
D 4.0

18 The natural rate of unemployment (NAIRU) is the rate at which:

A all unemployment is cyclical.
B cyclical unemployment is zero and inflation is stable.
C real wages are maximised.
D aggregate demand equals potential output at zero inflation.

19 An increase in labour productivity would most likely:

A shift both AD and LRAS to the right.
B shift only AD to the right.
C shift LRAS to the right, putting downward pressure on the price level.
D have no effect on LRAS.

20 The quantity theory of money (MV = PY) predicts that, in the long run, if V and Y are constant, a 10% rise in the money supply will cause:

A a 10% rise in real output.
B a 10% rise in the price level.
C a 10% rise in nominal interest rates.
D a 10% fall in the velocity of money.

21 A central bank pursuing an inflation target will most likely respond to a rise in demand-pull inflation by:

A cutting the official interest rate.
B raising the official interest rate.
C selling government bonds in exchange for the domestic currency, only if the money supply is contracting.
D devaluing the currency.

22 A government seeking to reduce structural unemployment would most likely:

A raise unemployment benefits substantially.
B reduce taxes on corporate profits.
C invest in retraining programmes targeted at displaced workers.
D restrict international trade.

23 The J-curve effect describes how, after a currency depreciation:

A the current account improves immediately.
B the current account worsens initially and then improves as quantities adjust.
C the current account worsens permanently.
D the financial account adjusts to offset the current account.

24 A country with a GDP per capita of $30,000, a life expectancy of 82 years and mean years of schooling of 13 will typically have:

A a low HDI value below 0.5.
B an HDI value indicating very high human development.
C a GDP per capita too low for classification.
D an HDI value below 0.7.

25 Comparative advantage exists when a country can produce a good:

A using fewer resources than another country.
B at a lower opportunity cost than another country.
C at a lower wage rate than another country.
D with a higher productivity level than another country.

26 An import quota differs from a tariff in that:

A a quota generates government revenue but a tariff does not.
B a tariff restricts quantity directly, while a quota raises price directly.
C a quota restricts quantity directly, while a tariff raises price directly.
D a quota is always more economically efficient.

27 Which is the most likely consequence of a successful currency union between several small open economies?

A Loss of a common monetary policy.
B Reduction in intra-union trade.
C Elimination of exchange rate risk between members.
D An increase in transaction costs between members.

28 A country's central bank intervenes to prevent its currency from appreciating. The most likely action is:

- **A** selling foreign currency reserves and buying its own currency.
- **B** buying foreign currency reserves and selling its own currency.
- **C** raising its official interest rate.
- **D** imposing capital controls on outflows.

29 The Lorenz curve for Country X lies further from the 45° line of perfect equality than the Lorenz curve for Country Y. This indicates that:

- **A** Country X has a higher GDP per capita than Y.
- **B** Country X has a higher HDI than Y.
- **C** Country X has greater income inequality than Y.
- **D** Country X has a lower Gini coefficient than Y.

30 Which of the following would most effectively reduce absolute poverty in a developing country in the short run?

- **A** Removing all agricultural subsidies.
- **B** Direct cash transfers to poor households.
- **C** Raising import tariffs on consumer goods.
- **D** Increasing restrictions on foreign direct investment.